

CORPORATE FINANCE · ANALYSIS

The Hidden Capital in Gift Cards

GIFT CARDS & THE BALANCE SHEET

Gift Cards (The Float)

A pool of customer cash a company has **already collected** for goods and services it has not yet delivered.

It funds the core of operations: inventory, payroll, rent, etc., **before** the company performs. In effect, customers extend the financing.

01

Deferred Revenue

Payment received today for **future** goods or services not yet delivered. It sits as a liability until earned.

Revenue from gift cards that are **never redeemed**. Unused balances eventually convert to pure profit. Industry Average is anywhere from 15-19%. **Breakage**

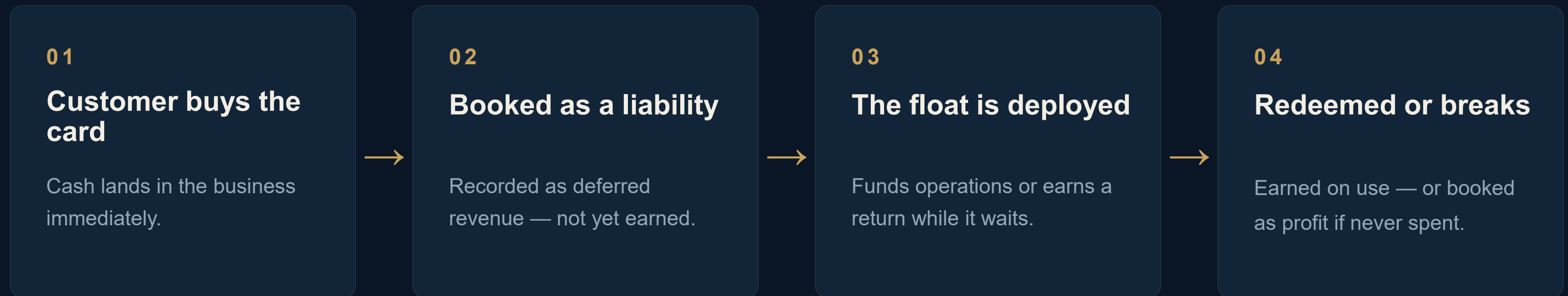
02



03

Float Cash that is owed but does not need to be delivered yet. So, it is **deployed** or **invested** in the meantime.

The Financing Loop



No interest. No lender. No fixed repayment date the company doesn't control.

Six Years of Gift Card Liability

**Liabilities pulled directly from each annual 10-K, paired with the Federal Reserve prime rate to estimate interest avoided.

SBUX (Starbucks)							
Source	Liability (\$M)*	YoY Growth (%)	Average Prime Borrow Rate**	Interest Avoided (\$M)	% Industry Avg (SBUX)	Est. Reported Breakage (\$M)	
10-K FY 2020	\$1,457	-	3.54%	\$51.58	10%	\$145.70	
10-K FY 2021	\$1,596	9.54%	3.25%	\$51.87	10%	\$159.60	
10-K FY 2022	\$1,642	2.88%	4.86%	\$79.80	10%	\$164.20	
10-K FY 2023	\$1,796	9.38%	8.20%	\$147.27	10%	\$179.60	
10-K FY 2024	\$1,781	-0.84%	8.31%	\$148.00	10%	\$178.10	
10-K FY 2025	\$1,841	3.37%	7.37%	\$135.68	10%	\$184.10	
Totals:				\$614.20		\$1,011.30	\$1,625.50

Scenario: 3

Notes:

*Starbucks Gift Card Liability is discoloured under the line titled "Stored Value Card Liability" on page 72

*Chipotle's Gift Card Liability is discoloured under the line titled "Gift Card Liability" on page 48 under Revenue Recognition

**Taken the industry average from the Federal Reserves (FRED) own database

***Not enough info or disclosing to accurately calculate the reported breakage, took industry average based on % of total liability

CNG (Chipotle)							
Source	Liability (\$M)*	YoY Growth (%)	Average Prime Borrow Rate	Interest Avoided (\$M)	% Industry Avg (CMG)	Est. Reported Breakage (\$M)	
10-K FY 2020	\$105.4	-	3.54%	\$3.73	10%	\$10.54	
10-K FY 2021	\$130.8	24.10%	3.25%	\$4.25	10%	\$13.08	
10-K FY 2022	\$145.0	10.86%	4.86%	\$7.05	10%	\$14.50	
10-K FY 2023	\$164.9	13.72%	8.20%	\$13.52	10%	\$16.49	
10-K FY 2024	\$181.8	10.25%	8.31%	\$15.11	10%	\$18.18	
10-K FY 2025	\$174.6	-3.96%	7.37%	\$12.87	10%	\$17.46	
Totals:				\$56.53		\$90.25	\$146.78

· \$614M avoided by Starbucks · \$57M by Chipotle
Through Years 2020-2025

Stored Value Cards

\$1.75 Billion

Held in stored value cards & loyalty at the close of FY2025, financing the business at zero cost.

Separately, a \$7B Nestlé prepayment is being recognized as deferred revenue on a straight-line basis over 40 years.

STORED VALUE & LOYALTY ROLLFORWARD · \$ MILLIONS

Component	FY2025	FY2024
Beginning balance	1,718.7	1,567.5
Revenue deferred	15,245.8	15,807.1
Revenue recognized	(15,199.5)	(15,665.1)
Other	(13.3)	9.2
Ending balance	1,751.7	1,718.7

Gift Cards & Rewards

\$174.6 Million

Gift card liability in December 2025.

Industry breakage at 15%-19%, accumulating \$26.19M – \$33.17M in revenue

Revenue recognized from gift cards climbed \$61.4M → \$80.1M → \$108.8M across 2023–2025.

CHIPOTLE REWARDS LIABILITY ROLLFORWARD · \$ MILLIONS

Component	FY2025	FY2024
Beginning balance	56.8	44.8
Revenue deferred	183.6	165.0
Revenue recognized	(176.6)	(152.9)
Ending balance	63.8	56.8

An Excel Visual Behind the Numbers

Inputs

Business Type	Startup
Scenario	Base Case
Business Name	Ernst LLC
Annual Gift Card Sales (\$)	\$50,000
Annual Gift Card Redemptions (\$)	\$40,000
Breakage Rate (%)	15%
Float Period (months)	15.00
Bank Loan Rate (Variable)	8.04%
Year	2020
Gift Cards Promo %	20.00%

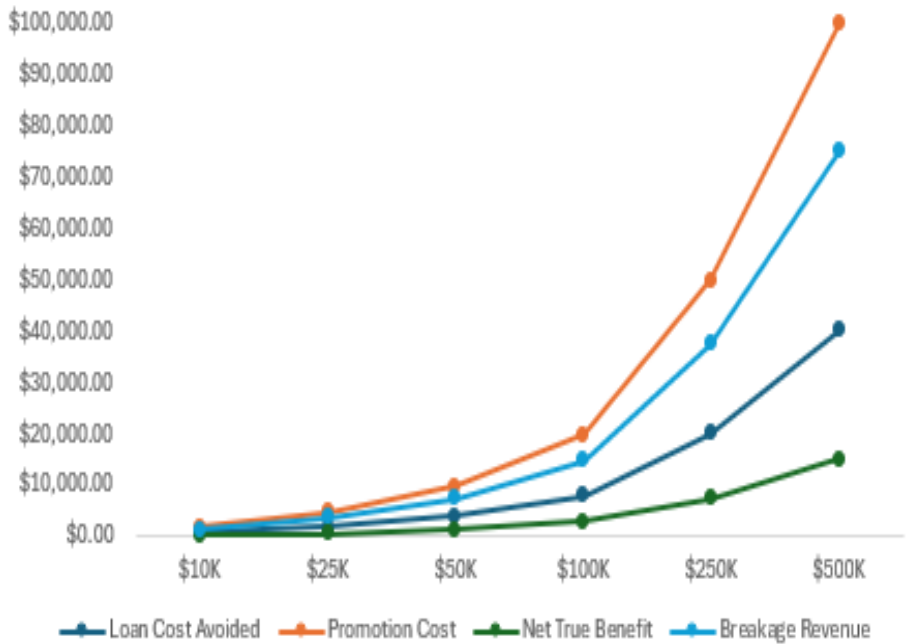
Outputs

Est. Breakage Revenue	\$7,500
Gift Card Float Value	\$62,500
Equivalent Annual Loan Interest	\$4,020
Total Annual Benefit	\$11,520

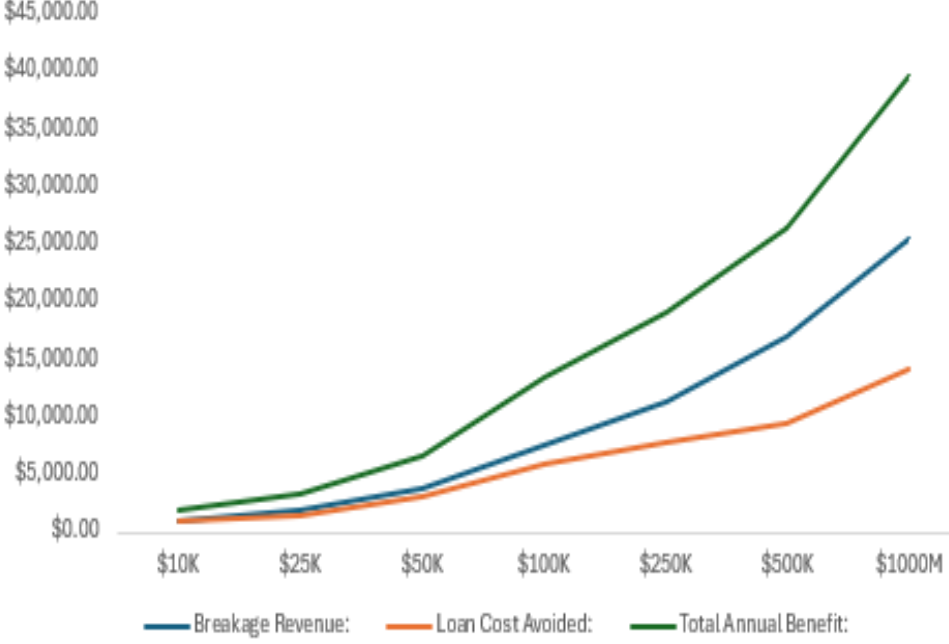
Sensitivity Analysis: Annual Benefits by GC Sales Volume (Fixed)

Business Type	Annual Gift Card Sales:	Breakage Revenue:	Float Value:	Loan Cost Avoided:	Total Annual Benefit:	Est. Redeemed:
Very Small Operator (Startup)	\$6,250.00	\$937.50	\$7,812.50	\$878.91	\$1,816.41	\$5,312.50
Café/Corner Store (SB)	\$12,500.00	\$1,875.00	\$15,625.00	\$1,484.38	\$3,359.38	\$10,625.00
Independent Restaurant (SB)	\$25,000.00	\$3,750.00	\$31,250.00	\$2,968.75	\$6,718.75	\$21,250.00
Small Regional Chain (SB)	\$50,000.00	\$7,500.00	\$62,500.00	\$5,937.50	\$13,437.50	\$42,500.00
Mid-Size Retailer (MB)	\$75,000.00	\$11,250.00	\$93,750.00	\$7,734.38	\$18,984.38	\$63,750.00
Larger Operator (LB)	\$112,500.00	\$16,875.00	\$140,625.00	\$9,492.19	\$26,367.19	\$95,625.00
Small Franchise Group (LB)	\$168,750.00	\$25,312.50	\$210,937.50	\$14,238.28	\$39,550.78	\$143,437.50

Cost of Capital: Bank Loan vs. Gift Card Promotion



Average Annual Benefit for GC Sales



GC Sales Volume	Loan Cost Avoided	Promotion Cost	Net True Benefit	Breakage Revenue
\$10K	\$804.00	\$2,000	\$304	\$1,500
\$25K	\$2,010.00	\$5,000	\$760	\$3,750
\$50K	\$4,020.00	\$10,000	\$1,520	\$7,500
\$100K	\$8,040.00	\$20,000	\$3,040	\$15,000
\$250K	\$20,100.00	\$50,000	\$7,600	\$37,500
\$500K	\$40,200.00	\$100,000	\$15,200	\$75,000
\$1000M	\$80,400.00	\$200,000.00	\$30,400	\$150,000

Business Type	Total Rate (Fixed)
Large Corporation	6.75%
Medium-Size Business	8.25%
Small-Business	9.50%
Startup	11.25%

Year	Average Prime Borrow Rate
2020	3.54%
2021	3.25%
2022	4.86%
2023	8.20%
2024	8.31%
2025	7.37%

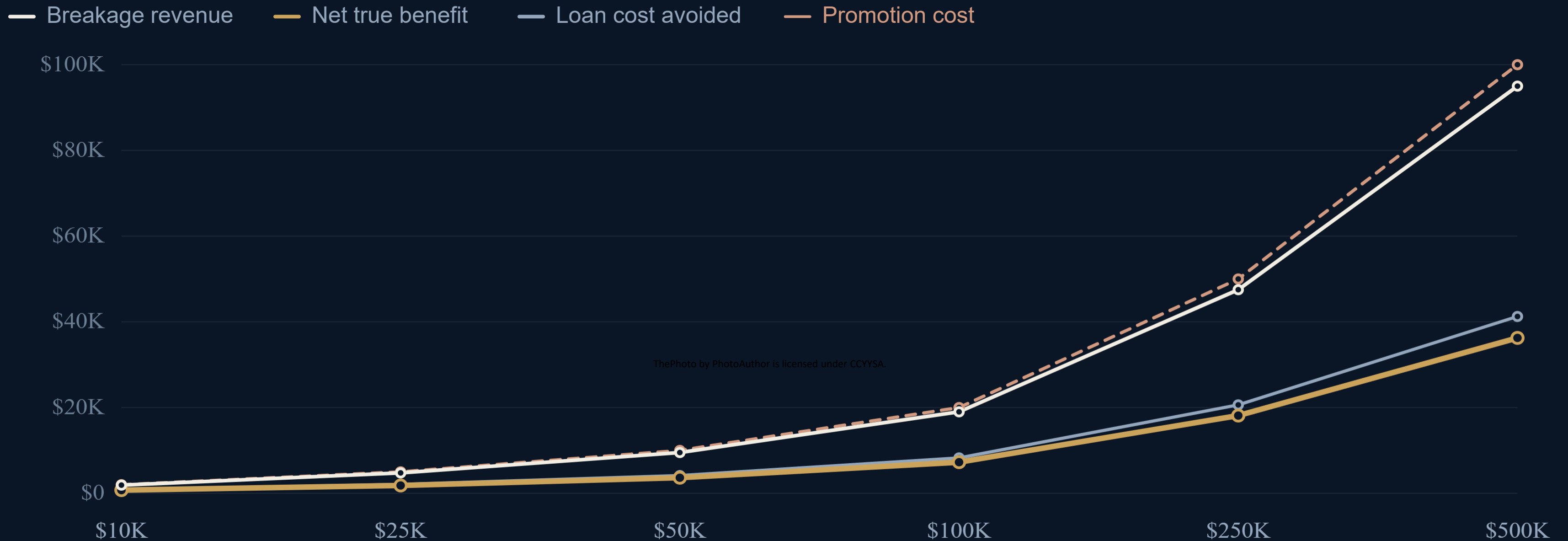
Business Type	Spread
Large Corporation	0%
Medium-Size Business	1.50%
Small-Business	2.75%
Startup	4.50%

The Benefit Scales with Volume



Across gift-card sales from **\$10K to \$1M**, breakage and avoided borrowing cost compound — the larger the program, the larger the absolute benefit returned to the business.

Bank Loan vs. Gift-Card Promotion



Even after funding the promotional discount, **breakage plus avoided interest** keep the program net-positive at every volume tier.

THE TAKEAWAY

Businesses save **and** finance their capital **interest-free.**

Customer-funded

Capital arrives before any cost is incurred.

Zero interest

No lender, no coupon, no covenant. This money could be considered deferred revenue, rather than debt through a bank

Breakage upside

Unredeemed balances convert straight to profit. (15-19% based on Industry Average)